

**UNITED STATES OF AMERICA
BEFORE THE
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate) Docket No. RM26-4-000
Transmission System)
)

COMMENTS OF WIRES

Pursuant to the Notice Inviting Comments issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025,¹ WIRES² submits the following comments on behalf of its members. These comments address the Advance Notice of Proposed Rulemaking (“ANOPR”),³ which was initiated following the Secretary of Energy’s (“Secretary”) directive, pursuant to section 403 of the Department of Energy Organization Act,⁴ requiring the Commission to initiate rulemaking procedures. WIRES respectfully requests Commission consideration of these comments.

WIRES promotes investment in the North American electric transmission system and champions robust and effective transmission solutions to address reliability, economic, and environmental challenges. WIRES also supports initiatives aimed at reducing or eliminating uneconomic barriers to transmission development. WIRES’ members are committed to developing the transmission infrastructure required to reliably supply energy for both existing and

¹ *Interconnection of Large Loads to the Interstate Transmission System*, Notice Inviting Comments, Docket No. RM26-4-000 (Oct. 27, 2025).

² WIRES is a non-profit trade association of investor-, publicly-, and cooperatively-owned transmission providers and developers, transmission customers, regional grid managers, and equipment and service companies. This filing is supported by the full supporting members of WIRES but the filing does not necessarily reflect the views of the Regional Transmission Organization/Independent System Operator (“RTO/ISO”) members of WIRES. For more information about WIRES, please visit www.wiresgroup.com.

³ *Ensuring the Timely and Orderly Interconnection of Large Loads*, Advance Notice of Proposed Rulemaking, Docket No. RM26-4-000 (Oct. 27, 2025).

⁴ 42 U.S.C. § 7173.

future loads. Additionally, WIRES advocates for constructive regulatory policies and reforms that address regulations hindering development of needed transmission infrastructure or adding unnecessary costs or process hurdles that deliver no clear value. WIRES and its members have consistently supported policies that establish regulatory frameworks in furtherance of timely, cost-effective investment in transmission infrastructure to meet the nation's growing electricity demand.

To that end, WIRES generally supports the urgent need, as recognized by the Secretary, to expedite and streamline the interconnection of large loads. As the Commission further considers the ANOPR, WIRES urges the Commission to ensure that ongoing regulatory initiatives aimed at achieving the objectives embodied in the Secretary's proposal are not derailed - intentionally or as an unintended consequence of any Commission action. Finally, WIRES also seeks clarification that any further action taken in this proceeding will protect utilities' ability to build the transmission upgrades and expansions needed to interconnect large loads and preserve their opportunity to earn a return on those investments.

I. COMMUNICATIONS

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II. COMMENTS

A. The ANOPR Should Compliment, Not Impede, Regulatory Policies, Practices, and Ongoing Reforms that are Essential to Accelerate the Transmission Infrastructure Development Necessary to Accommodate Rapid Large Load Growth

WIRES commends the Secretary for recognizing the potential need for action to support projected growth in United States electricity demand, including the expected rapid proliferation of large loads. The United States is at a critical inflection point. According to the ICF May 2025 Report, the Energy Information Agency (“EIA”) predicted a 12 percent increase in electricity demand by 2030 and 60 percent by 2050.⁵ However, after incorporating the latest demand forecasts from PJM Interconnection, L.L.C. (“PJM”), Electric Reliability Council of Texas (“ERCOT”), Midcontinent Independent System Operator, Inc. (“MISO”), and the Southeast Regional Council (“SERC”) -Southeast, ICF’s analysis found that those projections could be much higher – 25 percent by 2030 and 78 percent by 2050.⁶ These anticipated dramatic increases are largely driven by data centers, which are expected to consume up to 12 percent of total electricity production by 2028.⁷

This Administration also acknowledged, through various actions including *America’s AI Action Plan*, *Accelerating Federal Permitting of Data Center Infrastructure*,⁸ and *Strengthening the Reliability and Security of the United States Electric Grid*,⁹ that rapid modernization and

⁵ Lalit Batra, Deb Harris, George Katsigiannakis, Justin Mackovyak, Himali Parmar, and Maria Scheller, ICF, *Rising Current: America’s growing electricity demand* at 5 (May 2025) (available at https://www.icf.com/-/media/files/icf/reports/2025/energy-demand-report-icf-2025_report.pdf?rev=c87f111ab97f481a8fe3d3148a372f7f) (“ICF May 2025 Report”).

⁶ *Id.* at 3 and 5.

⁷ Lawrence Berkeley National Laboratory, *2024 United States Data Center Energy Usage Report* at 6 (Dec. 20, 2024) (available at <https://escholarship.org/uc/item/32d6m0d1>).

⁸ Executive Order No. 14318, *Accelerating Federal Permitting of Data Center Infrastructure* (July 23, 2025), 90 FR 35385 (July 28, 2025).

⁹ Executive Order No. 14262, *Strengthening the Reliability and Security of the United States Electric Grid* (Apr. 8, 2025), 90 FR 15521 (Apr. 14, 2025).

expansion of the grid will be needed to service this new demand in a reliable, affordable, and secure manner.¹⁰ For data centers and other large loads, transmission serves a dual purpose. Not only does it support physical connection to system infrastructure, a robust and proactively planned grid unlocks access to lower cost energy sources for those loads and facilitates reliable and resilient delivery of power.

Efforts to meet these growing interconnection and emerging transmission needs are already well underway in regions across the United States. For example, in December 2024, MISO approved the \$21 billion Tranche 2.1 Long Range Transmission Plan Portfolio.¹¹ The Tranche 2.1 portfolio includes 24 projects and creates a 3,631-mile 765 kV backbone that ensures future reliability while providing benefits far in excess of costs. The Tranche 2.1 portfolio builds on MISO's Tranche 1 portfolio of projects approved in July 2022, representing a \$10.3 billion investment in over 2,000 miles of new 375 kV facilities.¹² These projects, and projects like them, will help ensure the availability of reliable, resilient, and affordable power for large-loads and residential ratepayers alike.

Other regions are working to streamline large load interconnections. PJM is actively exploring a range of reforms to ensure the timely and reliable integration of large loads into the

¹⁰ See Zach Zimmerman, Rob Gramlich, and Michael Goggin, Grid Strategies, *Delaying transmission increases costs and reduced benefits for consumers* (November 2025) ("Grid Strategies 2025 Report") (new report from Grid Strategies, prepared on behalf of WIRES, quantifying how delays in developing large-scale transmission impacts consumers by postponing or eliminating key benefits, as well as negatively affecting the broader economy by hindering economic growth, job creation and national security priorities – including those tied to the advancement of artificial intelligence and overall economic progress) (available at <https://wiresgroup.com/wp-content/uploads/2025/11/Cost-of-Delayed-Transmission-Report-by-Grid-Strategies-for-WIRES.pdf>).

¹¹ See MISO News Release, *MISO Board Approves Historic Transmission Plan to Strengthen Grid Reliability* (Dec. 12, 2024) (available at <https://www.misoenergy.org/meet-miso/media-center/2024/miso-board-approves-historic-transmission-plan-to-strengthen-grid-reliability/>).

¹² MISO Long Range Transmission Planning (available at <https://www.misoenergy.org/planning/long-range-transmission-planning/>).

electric system.¹³ Likewise, Southwest Power Pool, Inc. (“SPP”) recently advanced a proposal of its own for large load interconnections.¹⁴ Each of these efforts are the product of extensive stakeholder engagement and were developed to reflect each planning system’s regional differences. To the extent these ongoing efforts appear likely to yield new processes and reforms that could accomplish the Secretary’s goal of expediting the interconnection of large loads, the Commission should seek to accommodate these efforts expeditiously rather than inadvertently slowing down or preempting them with the adoption of a new regulatory regime. Similarly, to accommodate more nuanced approaches nationwide, the Commission’s final order should allow for regional variations in compliance filings.

Such an approach aligns with the ANOPR, which specifies that “there must be a plan to implement these proposed reforms” and calls for “appropriate transition plans, including the treatment of large load interconnections that are already being studied for interconnection.”¹⁵ Accommodating efforts that are already underway in certain regions by adopting or implementing approved regulatory reforms will ensure that such ongoing initiatives and potential regulatory changes can effectively work in tandem to advance the Secretary’s objective of accelerating the interconnection of large loads.

As these various proceedings progress, WIRES’ members are prepared to rapidly and efficiently deploy the transmission infrastructure needed to meet the rising demand. WIRES and

¹³ See PJM Critical Issue Fast Path (“CIFP”) stakeholder process initiated to address the development of reliability-focused solutions to ensure large load additions can continue to be integrated rapidly and reliably, without causing resource inadequacy, while recognizing jurisdictional boundaries and data center relationships with existing Load Serving Entities and/or Electric Distribution Companies (available at <https://www.pjm.com/committees-and-groups/cifp-lla>).

¹⁴ See SPP News Release, *SPP’s High Impact Large Load Interconnection Solutions: Powering Growth, Accelerating Opportunity* (available at <https://spp.org/markets-operations/high-impact-large-load-hill-integration/>).

¹⁵ ANOPR at P. 30.

its members look forward to partnering with the Commission, DOE, and the broader Administration to overcome constraints that stand in the way of the grid of the future.

B. Any Commission Action Following the ANOPR Should Ensure that Transmission Owners Have the Opportunity to Build and Earn a Reasonable Return on the Costs of Upgrades and Expansions Needed to Interconnect Large Loads

The Commission has consistently acknowledged that the transmission system functions as an integrated whole designed to serve all customers. This framework allows each customer to take advantage of the many benefits provided by the transmission system. Recognizing such opportunities, the Commission has a long-standing policy in favor of rolled-in rates for integrated systems.¹⁶ The Commission has stated that the principal reason behind its policy of broadly allocating costs is that “an integrated system is designed to achieve maximum efficiency and reliability at a minimum cost on a systemwide basis. Implicit in this theory is the assumption that all customers . . . receive the benefits that are inherent in such an integrated system.”¹⁷ The addition of large loads is nascent in many regions and raises numerous questions, including the potential for cost shifts. At base, transmission owners should be able to recover the costs of serving all loads and the manner in which that is done should respect Commission precedent and consider the interests of retail regulators in setting retail rates.

As the Commission considers potential reforms, it is critical that the Commission ensure that any final action in this proceeding is consistent with longstanding precedent requiring that public utilities be afforded an opportunity to timely recover and earn a rate of return on transmission assets they are required to plan, develop, own, and operate. Such compensation is

¹⁶ *Otter Tail Power Co.*, 12 FERC ¶ 61,169 at 61,420 (1980) (“*Otter Tail Power Co.*”) (the Commission has a longstanding policy in favor of rolled-in rates for integrated systems); *see also Western Massachusetts Elec. Co. v. FERC*, 165 F.3d 922, 927 - 28 (D.C. Cir. 1999); *Maine Pub. Serv. Co. v. FERC*, 964 F.2d 5, 8 - 9 (D.C. Cir. 1992); *City of Holyoke Gas & Elec. Dep’t v. FERC*, 954 F.2d 740, 742 - 43 (D.C. Cir. 1992).

¹⁷ *Otter Tail Power Co.* at 61,420.

necessary to account for the risks they undertake to fulfill these obligations.¹⁸ The interconnection of significant amounts of large load to the grid will demand extensive system planning and solutions that will necessitate collaboration and coordination among transmission owners and system planners. Additionally, this process will require substantial capital investment to interconnect those loads. WIRES members are poised to play a pivotal role in facilitating the prompt and reliable interconnection of network resources by ensuring the necessary accommodations are made to support this dynamic period of increasing demand.

To ensure the timely and reliable interconnection of large loads, the Commission should require that its overall existing transmission service pricing policy is applicable to new large loads. That is, as they do today, such load customers should pay for the cost of transmission service with such costs reflecting the upgrades and expansions necessary to interconnect and serve such large load customers, over both the short and long term. Moreover, developing a regulatory process to facilitate massive amounts of interconnection to an expanding grid - without properly compensating for the increased responsibilities and obligations that will be borne by transmission owners - would undermine transmission owners' ability to continue to attract the capital required to make the necessary transmission infrastructure investments. Such investment is necessary to provide safe, reliable, and resilient service, as well as maintain the financial soundness of the companies' operations. The Commission must ensure that transmission owners can timely recover their costs and investment and earn a reasonable rate of return for the risks and costs associated with their development, ownership, and operation of the transmission upgrades and expansions needed to achieve the Administration's goal of expeditiously interconnecting large loads.

¹⁸ *Fed. Power Comm'n v. Hope Natural Gas Co.*, 320 U.S. 591, 603 (1944) ("*Hope*"); *Bluefield Water Works & Improvement Co. v. Pub. Serv. Comm'n of W. Va.*, 262 U.S. 679, 692 – 693 (1923) ("*Bluefield*").

III. CONCLUSION

As detailed above, WIRES' members stand ready, willing, and able to rapidly deploy the transmission infrastructure needed to meet the rising demand highlighted by the ANOPR and look forward to working with the Commission to overcome the constraints and challenges to achieve the Administration's goal of rapidly integrating large load resources.

Respectfully submitted,

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November 21, 2025

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that I have this day had served the foregoing document upon each person designated on the official service list compiled by the Secretary in this proceeding.

Dated at Washington, D.C. this 21st day of November 2025.

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